As an example, the Indian financial markets were forcibly cut up into three sub-industries: commodity futures, regulated by the Forward Markets Commission (FMC); equities and long-dated corporate bonds, regulated by the Securities and Exchanges Board of India (SEBI); and currencies, government bonds and short-dated corporate bonds, regulated by the Reserve Bank of India (RBI). Firms in each silo were prohibited from doing business in the other two silos. This hampered economies of scale and economies of scope. In general, the coercive power of the state should not be used to hamper firms that exploit economies of scope.

In some situations, however, bundling and tying raises concerns about a market failure in the form of market power. As an example, consider the Life Insurance Corporation of India (LIC), which has a dominant position in the brand awareness and distribution of insurance products. Suppose a new firm is born, with high skills in the production side of insurance products. This firm would not be able to reach consumers, as LIC has a lock on distribution and sales. LIC can get away with very poor manufacturing, as it owns the distribution.

Using state power to force an unbundling, between manufacturing and distribution, can solve this problem. Consider the New Pension System (NPS). Project OASIS, led by Surendra Dave in 1998, saw that the overall pensions problem contained three distinct industries : managing money, owning customers, and record-keeping. [1] It suggested an unbundled architecture where pension fund management was separated from interaction with customers. Record-keeping was centralized at an information utility, to harness economies of scale, and to ensure that it was easy for consumers to switch from one pension fund manager to another.

This design caters to heightened competition. On the strength of better fund management, a new pension fund manager can steal away customers, as switching is always possible. Similarly, the front-end firms would live or die based on their friendliness to customers, and not on the quality of their fund management.

In the conventional world, finance professionals generally focus on the deal making required to get a new product to the customer. These finance